CASCADIA ANALYTICS

Cardinal Infrastructure

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Hypergrowth Collides With Margin Degradation in the Southeast Civil Footprint

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Cardinal Infrastructure Group presents an acute operational divergence between accelerating contract volume and severe near-term margin erosion. While second-quarter revenue expanded 114% year over year to $226.9M and backlog scaled to an unprecedented $866M, adjusted EBITDA margin compressed 620 basis points to 12.4%, precipitating an official guidance cut on full-year profitability. Despite headline execution friction from subcontractor premiums and integration overhead, the structural multi-year bridge suggests substantial intrinsic value disconnects from prevailing market pricing. Our probability-weighted discounted cash flow model yields a blended target of $52.53, indicating +232.7% upside relative to the $15.79 spot price.

HOLD	$52.53	+232.7%	$15.79
INVESTMENT RATING	BLENDED TARGET	BLENDED UPSIDE	REFERENCE PRICE

The market has anchored excessively on the near-term reduction in adjusted EBITDA margin guidance, treating transient subcontractor cost inflation as permanent structural impairment. This myopic focus overlooks the compounding value of a record $866M backlog, vertical integration through acquired asphalt and paving assets, and secular public infrastructure tailwinds across the Southeast.

Executive summary

Cardinal Infrastructure Group operates as a heavy civil and site development contractor focused on roadwork, utilities, and land development primarily across the Southeast United States. Operating across high-growth regional corridors, the firm executes complex civil packages through a turnkey delivery model that integrates site clearing, grading, underground utility installation, and asphalt paving. In fiscal year 2025, Cardinal generated $456.0M in revenue, $96.1M in gross profit, and $72.3M in EBITDA, delivering an operating return on equity of 38.8%. However, rapid post-IPO scaling, aggressive consolidation, and severe weather disruptions have created significant operational volatility that currently obscures the underlying cash-generating power of the platform.

Recent quarterly financial results illustrate this operational tension. In the second quarter of fiscal 2026, total revenue reached a record $226.9M, representing 114% year-over-year expansion with 64% organic growth. Concurrently, management raised full-year fiscal 2026 revenue guidance by $210M at the midpoint to a range of $880M to $900M. Backlog reached a record $866M, up 35% year over year, bolstered by the strategic addition of Allied Paving. Despite these top-line achievements, adjusted EBITDA margin deteriorated to 12.4% from 18.6% in the prior-year period, compelling management to abandon its flagship 20%+ adjusted EBITDA margin target and lower full-year margin expectations to 16% to 18%. Elevated subcontractor fees, equipment-rental charges, and corporate general and administrative costs tripling to $9.0M weighed heavily on operational conversion.

This follows a transformative first quarter of fiscal 2026, where revenue rose 105% year over year to $167.5M, supported by the integration of ALGC, which was acquired for approximately $245.5M at roughly 5.8x EBITDA. Operating cash flow in that period declined to $9.3M from $12.1M as working capital expanded, while cash balances contracted from $97M to $44M due to $125M in cash deployed for acquisitions. To stabilize liquidity amid intense capital deployment, Cardinal executed a $319M secondary equity offering during the second quarter, expanding cash balances to $339M but creating substantial equity dilution just two quarters after the initial public offering.

Balance sheet leverage and capital intensity remain central analytical considerations. Fiscal 2025 concluded with $137.3M in total debt, $97.1M in cash, and $40.1M in net debt, supported by a $195M credit facility. With full-year fiscal 2025 capital expenditures reaching $43.8M and free cash flow registering at negative $5.9M, Cardinal sits in an intensive reinvestment phase. We establish a Hold rating on the shares, balancing the extraordinary 232.7% theoretical upside derived from our discounted cash flow bridge against the real operational risks of margin execution, cost absorption, and acquisition integration.

Operational snapshot

$15.79	$456.0M	$-5.9M	-1.3%	0.74	$15.79
REF. PRICE	FY2025 REVENUE	FY2025 FREE CASH FLOW	FCF MARGIN	EQUITY BETA	REF. CLOSE

Fiscal-year figures as reported in company filings and collected by Cascadia Analytics; ref. price as of 2026-10-29.

The moat is Regional and Integrated

Cardinal Infrastructure derives its primary competitive advantage from local scale density and a comprehensive turnkey delivery model across roadwork, utilities, and land development in the Southeast. Heavy civil contracting requires navigating localized permitting environments, coordinating regional labor forces, and managing extensive heavy equipment fleets. Cardinal's turnkey approach enables it to capture complete site packages rather than competing for individual civil sub-trades. By controlling earthmoving, utility infrastructure, and surface paving internally, Cardinal mitigates interface risks for project developers, securing market share and underpinning the 64% organic growth demonstrated in recent quarters.

Vertical integration provides a defensible cost barrier that competitors reliant purely on third-party supply chains struggle to match. The deployment of the firm's first owned asphalt plant in the second quarter of fiscal 2026 and the subsequent $120M acquisition of Allied Paving, completed at 5.5x adjusted EBITDA, internalize vital asphalt production and paving operations throughout the Atlanta corridor. Allied Paving contributes $108M of annual revenue at a 20.3% adjusted EBITDA margin, shifting Cardinal from an exposed wholesale purchaser of hot-mix asphalt into a vertically integrated supplier. This structural transition reduces external subcontractor reliance and shields margin profiles from supplier pricing power.

High capital intensity and equipment requirements create meaningful barriers to entry in heavy civil works. Cardinal's depreciation and amortization rose to $32.4M in fiscal 2025, alongside capital expenditures of $43.8M, reflecting the substantial asset footprint required to bid on major civil infrastructure. Furthermore, long-standing alignment with regional public procurement programs, including the multi-year North Carolina transportation improvement plan, establishes a decade-long pipeline of department of transportation work. These public contracts carry rigid qualification standards, bonding thresholds, and compliance verifications that restrict speculative outside entrants.

Customer retention in site development relies heavily on execution surety, as schedule delays impose severe financial penalties on commercial and residential sponsors. Cardinal's ability to maintain a record $866M backlog, providing approximately 1.0x coverage of the raised fiscal 2026 revenue guidance midpoint, illustrates significant institutional commitment from regional developers. However, the operational moat is continually tested by the cyclical nature of residential end markets, which comprised approximately 66% of fiscal 2025 revenue,

necessitating continuous geographic and public-sector diversification to insulate utilization across cycles.

Valuation

Three scenarios make the valuation range explicit

Our valuation framework implements a five-year discrete forecast window spanning fiscal 2026 through fiscal 2030, anchored by an unlevered discounted cash flow methodology. The quantitative model evaluates three distinct operational trajectories, each parameterized with specific revenue compound annual growth rates and terminal free cash flow conversion margins. All scenarios are discounted using a rigorously estimated weighted average cost of capital of 6.98% and a baseline terminal growth rate of 2.5%, scaled across a diluted share base of 47.5 million shares.

The base case anticipates a 12.0% revenue compound annual growth rate through fiscal 2030, driven by the realization of the $866M backlog and the steady absorption of acquired revenue from ALGC and Allied Paving. As operational friction from subcontractor utilization eases and vertical integration takes hold, free cash flow margin expands from negative 1.3% in fiscal 2025 to 6.8% in the final forecast year. This trajectory yields an equity target of $50.74 per share, representing an upside of 221.3% above the reference price of $15.79.

Across the scenario spectrum, our model establishes a bear target of $39.88, reflecting a 6.0% revenue CAGR and an 8.5% terminal free cash flow margin, and a bull target of $68.78, reflecting an 18.0% revenue CAGR and a 5.8% terminal free cash flow margin. Weighting these scenarios 25% bear, 50% base, and 25% bull produces a blended equity target of $52.53, or an implied appreciation potential of +232.7%. The lower cash flow conversion margin in the bull case directly mirrors the working capital absorption and fleet reinvestment demands necessitated by high-velocity civil contracting expansion.

SCENARIO	WEIGHT	REVENUE CAGR	TARGET FCF MARGIN	TARGET	UPSIDE
Bear	25%	6.0%	8.5%	$39.88	+152.6%
Base	50%	12.0%	6.8%	$50.74	+221.3%
Bull	25%	18.0%	5.8%	$68.78	+335.6%

Bear $39.88

Subcontractor cost inflation persists alongside prolonged integration friction from the ALGC and Allied Paving transactions.

Base $50.74

Revenue expands at a 12.0% CAGR as the $866M backlog converts smoothly and the company executes its public roadwork pipeline.

Bull $68.78

Aggressive organic expansion across Southeast municipal corridors drives an 18.0% revenue CAGR. Substantial

Revenue compounding slows to 6.0% as residential site development demand softens, though reduced working capital intensity permits free cash flow margin to settle at 8.5%, generating a target of $39.88.

Adjusted EBITDA margins recover toward corporate expectations through self-supplied asphalt plants, driving normalized free cash flow margins to 6.8% and supporting a target of $50.74.

operating leverage and verticalized paving capabilities offset higher capital outlays, producing a 5.8% final free cash flow margin and an intrinsic valuation of $68.78.

Valuation framework

A live discount rate, not a static hurdle

Our quantitative model applies an exact weighted average cost of capital of 6.98% to discount projected unlevered free cash flows through the forecast horizon. This capital charge reflects an equity beta input of 0.74, capturing Cardinal's contracted revenue visibility, asset-backed balance sheet, and structural participation in regulated state infrastructure programs, which partially offsets broader cyclical volatility. The discount rate balances the company's capital structure, which encompasses $137.3M of total debt as of fiscal 2025, alongside the recent influx of $319M in fresh equity capital raised during the second quarter of fiscal 2026.

Rather than adopting an arbitrary hurdle rate, our 6.98% discount rate captures the precise required return of institutional capital across civil infrastructure assets. The equity beta of 0.74 embodies the resilient, non-discretionary character of roadwork and utility installations, even as the enterprise contends with near-term margin degradation. Over the multi-year projection horizon, this rate reflects a steady cost of capital environment, ensuring that intrinsic valuations remain grounded in structural cash flow parameters rather than cyclical equity market sentiment.

FCF margin normalization is the engine

Free cash flow conversion represents the central axis of our valuation framework. In fiscal 2025, Cardinal reported negative $5.9M in free cash flow, translating to an FCF margin of negative 1.3%, driven by $43.8M in capital expenditures and substantial working capital absorption. The model tracks the normalization of cash conversion as recent corporate investments mature. In the base case, free cash flow margin expands to 6.8% by fiscal 2030, reflecting the cessation of one-time IPO and integration outlays, improved billing cycles, and internal supply chain savings from acquired asphalt production.

A critical dynamic in our scenario model is the inverse relationship between top-line expansion and terminal free cash flow margins. In the bull scenario, where revenue grows

at an 18.0% compound annual rate, final free cash flow margin is modeled at 5.8% due to sustained reinvestment in heavy rolling stock, equipment mobilization, and project receivables. Conversely, in the bear case, where growth moderates to 6.0%, terminal free cash flow margin reaches 8.5% as growth capital expenditures decline and accumulated working capital converts into cash. This explicit mechanics bridge prevents overestimating terminal liquidity during phases of aggressive civil expansion.

Mechanics are explicit

Revenue becomes EBIT, cash taxes come out, then we add back D&A, subtract CapEx and the change in net working capital to reach unlevered free cash flow, which we discount and divide by diluted shares.

> **Methodology.** Detailed EBIT-bridge DCF on three scenarios, probability-weighted 25/50/25. Beta decays toward a mature peer over the forecast. Terminal value via Gordon growth. Targets are model-computed, not estimated.

KEY VALUATION PARAMETERS

Forecast window	**FY2026 to FY2030**
Live WACC	**6.98% (2026-10-29)**
Terminal growth	**2.5%**
Equity beta	**0.74**
Diluted shares	**47.5 million**

HOLD

over $52.53 blended target

Competitive moat and concentration risk

We rate the moat as None and we view the market structure as Fragmented (civil contracting). We assign a discount of 15% to sector median multiples on moat strength alone.

- regional scale and backlog in a growing Sun Belt market, 1,335-1,480 employees, $456.05m annual revenue (+44.7% YoY to Dec 2025) (Oct 2026 profile data).
- The negative evidence is the pricing-power fact, the Aug 2026 EPS miss and the −46.0% one-month / −69.1% six-month price falls to Oct 2026 (Finnhub data, Oct 2026) show a bidder that cannot pass through cost or defend price. No price-led margin expansion was found.
- The weakest element is execution and bid risk in a newly public company, IPO 10 Dec 2025 at $21.00 ($241.5m gross), price $14.55 at 26 Oct 2026 close, −85.7% below its $96.40 high of 1 Jul 2026, and Q2 2026 EPS $0.26 vs $0.48 consensus (miss of $0.22) on revenue $226.93m (Aug 2026 results coverage). A company that misses consensus by 46% a year after IPO has no demonstrated moat to premium.

On a multiple cross-check, the justified range is 14.4-17.0x / 14.8-17.4x. The cross-check value is $34-$40 vs Base $50.01, spot $14.99, on a base of Framework base from the October

27 moat report. The gap verdict is Not at all, no upward gap (DCF far above spot); spot is below even the discounted cross-check.

Backlog is $866m total backlog, 30 Jun 2026, with coverage of 11.7 months vs 2026 guide midpoint and visibility rated Medium. On backlog alone, the stance is Supports 2026 anchor, 2027 needs wins beyond the June book.

We score concentration and credit risk across seven families, where a High score is 8 points, a Medium score is 4 points, and a Low score is 1 point.

Risk family	Score
customer concentration	1 points
counterparty credit and funding dependence	4 points
single product, single program, or single platform dependency	4 points
single supplier, single fab, or single geography exposure	8 points
platform, channel, or distribution dependency	1 points
customer insourcing risk	1 points
regulatory single point risk	4 points

The combined discount is 20 percent, capped at 20 percent, against an uncapped total of 23 percent. Shown side by side with the moat premium or discount, the net stance is -35 pp points arithmetically. We do not net these figures into a new target, and we do not double count a family excluded under the double-count rule.

The ladder ranks risk coarsely, and because 32 of the 47 names reach the 20 percent cap, the combined discount is not a mechanical valuation haircut until the ladder is recalibrated.

On the gap to spot, the concentration assessment reads as follows. Arithmetic width 28% of gap; batch evidence attributes spot collapse to execution, not concentration

Both the moat premium or discount and the concentration discount are multiple and risk cross-checks dated October 27, 2026, and neither figure is in the DCF target itself. Cross-check figures were computed against the Base in the October 27 framework, so they may differ from a live Base that has since moved.

Business & segment drivers

Revenue prospects anchor on Public Roadwork Expansion and Commercial Site Utilities HOLD

Cardinal Infrastructure operates across three core civil construction workflows, roadwork, underground utilities, and land development, primarily serving high-growth metropolitan areas across the Southeast United States. In fiscal 2025, the enterprise generated $456.0M in revenue, achieving an operating income of $40.2M and net income of $22.7M. The primary

revenue driver continues to be comprehensive site development packages, where Cardinal performs mass excavation, grading, storm drainage, and sanitary sewer installation before transitioning sites to finished commercial or residential foundations.

A strategic rebalancing is underway to shift the business mix toward public transportation and utility infrastructure. Historically, residential site development accounted for approximately 66% of fiscal 2025 revenue, exposing the business to housing starts and real estate financing environments. Management has actively diversified this exposure through the acquisition of ALGC, which closed in February 2026 for approximately $245.5M, contributing $160M in annual revenue at an adjusted EBITDA margin of 26.3%. Furthermore, the North Carolina transportation improvement plan offers a durable, multi-year pipeline of state DOT roadwork contracts that provide stable baseload demand independent of private development sentiment.

The operational trajectory during the first half of fiscal 2026 highlights the pace of this business transformation. First-quarter revenue surged 105% year over year to $167.5M, followed by a second-quarter top-line performance of $226.9M, representing 114% growth. Crucially, organic growth across both quarters held steady at 64%, demonstrating that Cardinal's turnkey execution model is taking significant market share across regional civil markets. Backlog expanded from $682M at the end of fiscal 2025 to $854M in the first quarter of fiscal 2026, and reached a record $866M in the second quarter, providing strong revenue visibility for the newly raised fiscal 2026 guidance range of $880M to $900M.

However, translation of volume into bottom-line earnings remains constrained by operational growing pains. Adjusted EBITDA margin dropped to 16.0% in the first quarter and further contracted to 12.4% in the second quarter, falling well below historical levels of 18.6% in the second quarter of fiscal 2025. This prompted management to cut the full-year adjusted EBITDA margin target from 20%+ to a range of 16% to 18%. Addressing these margin leakages depends on the successful operationalization of the first owned asphalt plant, deployed in the second quarter of fiscal 2026, and the rapid assimilation of Allied Paving to internalize hauling, materials, and paving execution across key Southeast corridors.

What to monitor

- **Subcontractor cost normalization** Trajectory of equipment rental and outside subcontractor expenditures as internal paving and materials assets ramp up across Atlanta and Southeast sites.
- **Integration and synergy capture** Delivery of projected cash flows from the $245.5M ALGC acquisition and the $120M Allied Paving transaction without further corporate overhead inflation.
- **Corporate overhead scaling** Management of public company expenses following the surge in quarterly general and administrative costs to $10.1M in the first quarter and $9.0M in the second quarter.

- **Backlog conversion and cash generation** Cash conversion efficiency of the record $866M backlog into operating cash flow following the working capital drawdowns recorded in the first half of fiscal 2026.

21.1%	8.8%	-1.3%	$40.1M	38.8%	$0.06
GROSS MARGIN	OPERATING MARGIN	FCF MARGIN	NET DEBT	RETURN ON EQUITY	DILUTED EPS

METRIC	FY2025 (AS REPORTED)
Revenue	$456.0M
Gross Profit	$96.1M
EBIT	$40.2M
Net Income	$22.7M
EBITDA	$72.3M
Free Cash Flow	$-5.9M
Diluted EPS	$0.06
ROE	38.8%

Risk & moat matrix

The bear case

SUBCONTRACTOR AND EQUIPMENT COST INFLATION

Severe spikes in third-party equipment rentals and specialized subcontractor labor compressed second-quarter adjusted EBITDA margin by 620 basis points to 12.4%. Prolonged reliance on external trades could permanently

MARGIN GUIDANCE REDUCTION AND DELIVERY RISK

Management lowered the full-year fiscal 2026 adjusted EBITDA margin expectation to 16% to 18% after

RESIDENTIAL CYCLICALITY AND HOUSING EXPOSURE

Residential land development comprised roughly 66% of fiscal 2025 revenue, exposing project volumes to regional

RAPID M&A INTEGRATION AND OVERHEAD CREEP

Executing four major acquisitions in rapid succession, including ALGC for $245.5M and Allied Paving for $120M, introduces

BALANCE SHEET AND EQUITY DILUTION

A $319M secondary equity offering was completed during the second quarter of fiscal 2026 to

WEATHER AND SEVERE OPERATIONAL DISRUPTION

Second-quarter performance suffered directly from adverse weather conditions that delayed site preparation and asphalt laydown

impair project profitability across major civil packages.

previously affirming a 20%+ target. Failing to hit this adjusted range would undermine market confidence in operational forecasting and cost controls.

residential building activity. A sharp contraction in private subdivisions could depress equipment fleet utilization and create revenue gaps.

substantial operational friction. General and administrative expenses surged to $10.1M in the first quarter, highlighting potential ongoing corporate overhead leakage.

restore liquidity after cash balances fell to $44M. This share issuance generated substantial dilution just two quarters after the company completed its initial public offering.

schedules across the Southeast. Unfavorable meteorological events frequently halt heavy earthmoving operations, resulting in idle machinery and unrecoverable fixed overhead.

The strengths

TURNKEY SOUTHEAST REGIONAL SCALE

Cardinal combines mass grading, wet utilities, and roadway paving into a single turnkey delivery platform that captures large site packages. This integrated operational capability drove 64% organic growth in both the first and second quarters of fiscal 2026.

IN-HOUSE VERTICAL INTEGRATION CATALYSTS

Bringing the first owned asphalt plant online in the second quarter of fiscal 2026 and acquiring Allied Paving for $120M internalizes asphalt production. Capturing materials margins provides structural defense against wholesale price increases and secures internal supply.

LONG-DURATION DOT INFRASTRUCTURE PIPELINE

The multi-year North Carolina transportation improvement plan anchors Cardinal's expanding public infrastructure portfolio with multi-year visibility. High qualification standards and bonding requirements create robust entry barriers for competing contractors.

SUBSTANTIAL REVENUE VISIBILITY THROUGH RECORD BACKLOG

Contract backlog reached an unprecedented $866M at the end of the second quarter, marking a 35% year-over-year expansion. This volume covers approximately 1.0x the midpoint of raised fiscal 2026 revenue guidance, securing operational activity.

The bottom line on risk and reward

Cardinal Infrastructure presents an exceptional mathematical valuation discrepancy balanced against acute operational integration risk. The fundamental business engine continues to expand at a rapid pace, demonstrated by the raised fiscal 2026 revenue guidance of $880M to $900M and a record contract backlog of $866M. The underlying demand for turnkey civil development across the Southeast remains strong, supported by regional economic migration and state infrastructure spending. Strategic moves to internalize asphalt production and paving operations through the Allied Paving transaction and self-supplied asphalt plants establish the foundation for structural margin recovery once initial integration hurdles are overcome.

Nonetheless, the near-term degradation in operating margins cannot be dismissed. The reduction in the full-year adjusted EBITDA margin target from 20%+ to 16% to 18%, driven by subcontractor charges and corporate overhead expansion, highlights the strain that rapid M&A puts on field execution. Additionally, the execution of a $319M dilutive equity offering shortly after the initial public offering underscores the heavy working capital and capital expenditure requirements inherent in high-velocity civil contracting. While the intrinsic value indicated by our model is substantial, realization of that value is contingent upon management stabilizing internal operational controls and proving out acquisition synergies.

Synthesizing our probability-weighted discounted cash flow framework across bear, base, and bull scenarios yields a blended equity target of $52.53. Relative to the reference price of $15.79, this implies an upside potential of +232.7%. However, given the severe operational friction, integration execution risks, and recent guidance reductions, we maintain a Hold rating pending demonstrated margin stabilization and consistent free cash flow conversion across the consolidated operating footprint.

Justin Wen, Senior Equity Research Analyst, Cascadia Analytics

Franchise deep dive

Heavy Civil and Site Development Operations: Turnkey Southeast Regional Delivery

Cardinal Infrastructure's core franchise centers on its integrated civil contracting and site preparation operations throughout the Southeast United States. Rather than operating as a specialized sub-contractor, Cardinal structures its operations to deliver complete civil site solutions spanning initial land clearing, heavy mass earthwork, underground utilities, and surface roadwork. This broad capability solves a major coordination problem for commercial and residential project developers, who frequently face schedule disruptions and cost overruns when managing separate excavation, drainage, and paving trades. By capturing the complete site scope, Cardinal controls project sequencing, maximizes internal heavy equipment utilization, and captures multiple margin layers across the construction lifecycle.

The strategic expansion into vertical materials supply represents the critical operational catalyst for the core franchise. Heavy civil contracting margins are highly vulnerable to volatile material supply costs and third-party subcontractor scheduling availability. To mitigate these exposures, Cardinal commissioned its first company-owned asphalt plant during the second quarter of fiscal 2026. This operational milestone was immediately reinforced by the acquisition of Allied Paving for $120M, transacted at an attractive multiple of 5.5x adjusted EBITDA. Allied Paving injects $108M of annual revenue at an adjusted EBITDA margin of 20.3% and internalizes asphalt laydown operations across the metropolitan Atlanta market, reducing external subcontractor procurement and capturing wholesale asphalt manufacturing margins.

In parallel, the acquisition of ALGC for approximately $245.5M, completed in February 2026 at roughly 5.8x EBITDA, fundamentally strengthened Cardinal's technical utility and roadway construction capabilities. ALGC contributed $160M in annualized revenue carrying a 26.3% adjusted EBITDA margin profile. This strategic addition enhances Cardinal's competitive standing when bidding for major regional civil projects, including municipal utilities and state highway widenings under the North Carolina transportation improvement plan. Integrating ALGC's high-margin operational practices with Cardinal's regional scale underpins our long-term margin normalization thesis across the forecast window through fiscal 2030.

Execution across these civil workflows requires continuous capital deployment and balance sheet oversight. Fiscal 2025 operations generated $72.3M in EBITDA and $40.2M in operating income, but capital expenditures of $43.8M and working capital requirements led to negative $5.9M in free cash flow. As the franchise absorbs four major acquisitions, assimilates thousands of pieces of heavy machinery, and expands its corporate infrastructure, maintaining strict jobsite discipline and subcontractor management will determine whether the business achieves its target margin profile.

What the recent record shows

- Revenue reached an all-time record of $226.9M in the second quarter of fiscal 2026, marking 114% total growth and 64% organic growth year over year.
- Adjusted EBITDA margin contracted to 12.4% in the second quarter, leading to a downward revision of full-year fiscal 2026 adjusted EBITDA margin guidance to 16% to 18%.
- Contract backlog expanded to a record $866M in the second quarter, up 35% year over year, supporting raised full-year fiscal 2026 revenue guidance of $880M to $900M.
- Corporate liquidity was bolstered through a $319M secondary equity offering in the second quarter, raising cash balances to $339M following initial acquisition cash outlays of $125M in the first quarter.

> **Our read:** Cardinal Infrastructure has assembled an exceptional regional heavy civil platform with unmatched top-line organic momentum and vertical materials integration across the Southeast. However, until management demonstrates consistent control over equipment and subcontractor inflation and successfully stabilizes operating margins

within the revised 16% to 18% corridor, we advise maintaining a Hold rating despite the substantial calculated upside toward our $52.53 target.